VERDAD

Verdad Q4 2018 Update

The Verdad Leveraged Company Fund was down 21% in the quarter, bringing our 2018 return to -16% and our three-year annualized return to 17%. Our 2018 returns lagged our benchmarks. But over the past three years, we not only outperformed our benchmarks, but also outperformed all but one fund tracked by Morningstar in the foreign small/mid-cap value and US small-cap value categories. We also outperformed private equity. Over the three years to 6/30/18 (the most recent data available), the Cambridge Associates US Private Equity Index returned 12.5% per annum, while Verdad returned 17%.

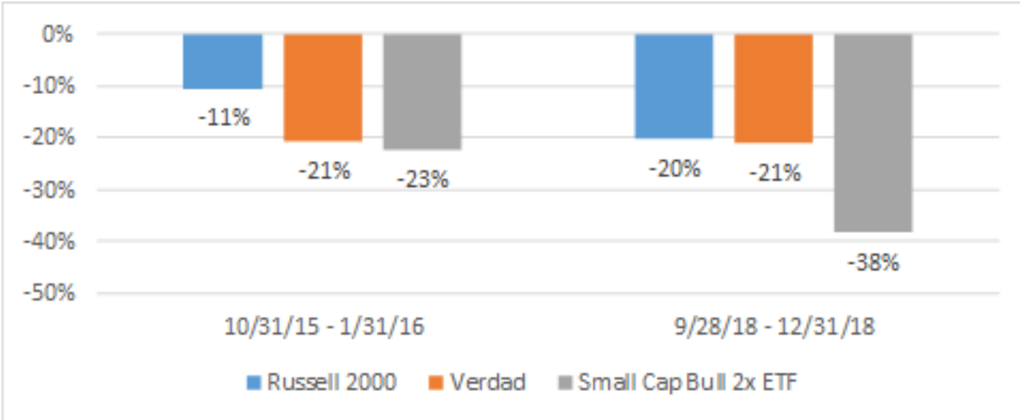
Figure 1: Performance of the Verdad Leveraged Company Fund

	Q4 2018	2018	Three Years
Verdad A (0.75%/10%) *	-20.7%	-15.3%	16.7%
Verdad B (1.50%)	-21.0%	-15.9%	16.5%
Russell 2000	-20.2%	-11.0%	7.4%
Russell 2000 Value	-18.7%	-12.9%	7.4%
Russell Developed Small-Cap	-18.1%	-14.8%	5.5%
Change in High-Yield Spread	2.1%	1.7%	-1.6%

** Class A returns vary for individual investors based on timing. Numbers presented are for an investor who invested at inception.*

Our fund will likely never outperform in a down market. We own a portfolio of companies that are financed on average with 50% debt and 50% equity. Academic theory would suggest that stocks this leveraged should exhibit about 2x the volatility of unleveraged stocks. If we can avoid companies with real default risk, however, we can hope to keep our losses as close to the index as possible. We did as well as we could have hoped on this front in 2018, significantly improving our relative performance versus the last major drawdown in late 2015, when our returns looked more like those of a leveraged ETF.

Figure 2: Verdad's Performance in 2015 Drawdown vs. 2018 Drawdown



Source: Verdad, CapitalIQ

While we are happy to have contained our losses in this down swing, our fund's primary purpose is to generate significantly outsized returns in up markets. During the up market from 1/31/2016 through 9/28/2018, our fund returned 125% versus 70% for the Russell 2000, capturing 180% of the upside of the small-cap index. Bought at the right price, leveraged equities have the potential for dramatic rallies.

We do not know if the market has hit bottom, or if the next few months will see a further spike in high-yield spreads and a further sell-off in equities. The bottom could have been December 24th, or it could be months down the road. But this is the type of environment that sets our strategy up to perform. Investors are skittish, liquidity in small-cap stocks is drying up, there have been no new high-yield bond issuances, newspapers are sowing fear, and leveraged small value equities are on sale at discounts.

The higher high-yield spreads go, the higher the returns over the next 12 months and the lower the probability of losses. The only problem is that these windows of opportunity tend to follow periods of bad performance, leaving investors too scared to take risk. Below we show historical returns for US leveraged small value equities from 1966 to 2015 based on the high-yield spread at entry.

Figure 3: High-Yield Spreads and Returns on Leveraged Small Value Equities

High Yield Spread		Next Twelve Months		Last Twelve Months		
HY Spread	% of Periods	% Return	% Negative	% Return	% Negative	
>1%	100%	22%	24%	22%	23%	
>2%	92%	22%	24%	22%	23%	
>3%	68%	25%	20%	24%	24%	
>4%	49%	29%	20%	22%	28%	
>5%	**32%**	**34%**	**16%**	**18%**	**35%**	***Today***
>6%	20%	41%	15%	17%	38%	
>7%	12%	47%	13%	14%	39%	
>8%	7%	54%	10%	5%	48%	

Source: Verdad research

The higher spreads go, the worse the last 12m performance has been and the better the performance over the next 12m. The time to buy, the time to lean into the market, is when everyone else is selling. At the beginning of January, high-yield spreads were at 5.4%. The 12m forward return from August of 2016, when we last hit that level, was 35%. We believe these market conditions represent the best buying opportunity since 2016.
